

NETFLIX INC NFLX

February 26, 2026 - 3:46am EST

by

ThinkAnew

2026 2027

Price:	83.00	EPS	0	0
Shares Out. (in M):	4,344	P/E	0	0
Market Cap (in \$M):	360,540	P/FCF	0	0
Net Debt (in \$M):	7,908	EBIT	16,286	19,571
TEV (in \$M):	368,449	TEV/EBIT	22.6	18.8

Description

There have been a few WBD write-ups over the past few months given the excitement of the Netflix/Paramount-WBD deal (regardless of buyer) and rightly so. Netflix investors clearly hated the deal and its stock was up 6% yesterday likely because market loves the possibility of Netflix being outbid by Paramount (and willing to walk away.) Here, I am going to argue, deal or no deal for WBD, Netflix shareholders stand to earn a decent IRR over the next 3 years.

A no-deal could lead to a quick bump in NFLX (as they restart buybacks), or the fundamentals will drive the stock up over the next few years. A NFLX-WBD deal really is not as bad as most people think. And even if they match the \$31/share in cash Paramount is willing to pay and still allow WBD shareholders to keep the spin-off of cable network assets (so there's no doubt their offer is "better" than Paramount's which will include acquiring the channel networks), I argue it'll be a good deal for Netflix shareholders over the long-term.

Netflix's market cap is currently ~\$360B and it is basically taking on a bunch of debt to acquire the WB assets. Assuming they match Paramount's \$31/share bid, the EV they'll pay for WB will be ~\$91.2B. So, even if the deal goes through (and they are not crazy to pay beyond Paramount's bid), 80% of EV is still core Netflix and it's critical to understand Netflix's core business first.

Most of this is obvious, but still important. Hindsight is 20-20, but over the past 15 years, it has been clear buying the dominant big-tech when things were uncertain hasn't been bad. Think the days when Meta was going Metaverse or Google was getting killed by ChatGPT. Tech, by the nature of things, is a scale game. Go back to the days of pre-factory, pre-industrialization when we all knitted our clothes at home, there was no economies of scale to speak of. Then came factories and it became obvious the efficiencies and advantages gained from spreading capital costs (or R&D/costs of hiring the best brains) over more units. Over the past 200 years, each generation of new tech led to more need for scale and the stability, dominance and outrageous growth of big tech (even after they became "big") clearly has proven the case. Scale matters.

Unlike digging oil or making shaving cream in which hiring the second best is probably okay, in the world of tech, it requires more brains than anything we had known of, and having the best brains makes a huge difference. And the BEST never wants to be underpaid, those actually SBC matters. So big tech outperformed because it's the nature of things, it's a scale game, and they could afford to hire the best brains, build the best infrastructure/foundation and give consumers the best product at the cheapest cost (again and again by spreading ever higher R&D/product development costs over ever more sale units). Big tech did not outperform because everyone piled into low-cost index funds that kept driving the stock up (I cannot believe how many HF billionaires actually make this stupid argument just because they cannot be "different" and outperform). If big tech were not fundamentally good the past 15 years, they would have stopped growing a long time ago and these same low-cost indices would have sold a long-time ago. Anyways, scale matters and Netflix has scale.

Core Business

Netflix is a streaming service and stealing the words of Ben Thompson (Stratechery), they found out earlier than anyone else (and was willing to stick to it through thick and thin) that "internet distribution is more scalable than content". In other words, even if you had the most content, like the days when Warner Brothers had a lot and Netflix had none, it wasn't useful if you don't have the distribution channel on the internet to acquire lots of customers to spread those content costs and lower your per unit cost! And streaming, by the nature of things (convenience, watch anytime, anywhere, across devices) was the obvious way of how consumers were going to discover and watch content. And guess who came to dominate the streaming distribution channel?

Hence for Netflix, from DVDs-by-mail to streaming, their strategy has always been distribution first, content second. Once you have built up the silky-smooth tech, the back-end-infrastructure, the brand name, and became the de-facto #1 in streaming and cornered the distribution channel that consumers get and discover content (with low churn), it becomes very hard for anyone else to uproot you. And each new customer means almost pure profits and even more revenue to re-invest in better tech.

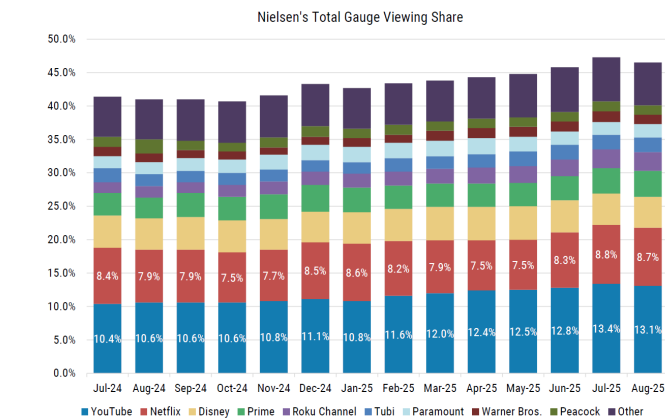
So, it wasn't a chicken and egg problem from the beginning. Distribution always was the king on the internet, and Netflix got it right to first focus on distribution and building that direct relationship with customers (knowing what they like and pushing the right things to them using algorithms to make them happy), before pivoting to acquiring content when it was worthwhile. And by now, they also have the data to know what content works best and have the highest odds of success.

And once Netflix became the dominant distributor and its algorithms determine what you watch, they have so much power that suppliers (the actual content makers) flocked to them and all sorts of good things that happen when someone has scale happened to them (lower per unit content costs, suppliers willing to forgo more money for the opportunity to be on Netflix, etc.) and they dominated the value chain. And consumers get a great service that is still arguably cheaper and better than what they can get elsewhere. And it becomes harder to cancel Netflix because they have the content budget to put something worth watching in a more rapid cadence than anyone else. Many people do one month of Paramount (or whatever) when there's something cool to watch and just

keep their Netflix.

Below are a few charts from a recent Morgan Stanley presentation that shows Netflix's dominance. Obviously, they still compete with YouTube, TikTok, Instagram and whatever you can name for attention. But for proper streaming of quality content, it's been pure dominance.

Both Netflix and YouTube continue to gain share of TV viewing time



Source: Nielsen, Company data, Morgan Stanley Research.

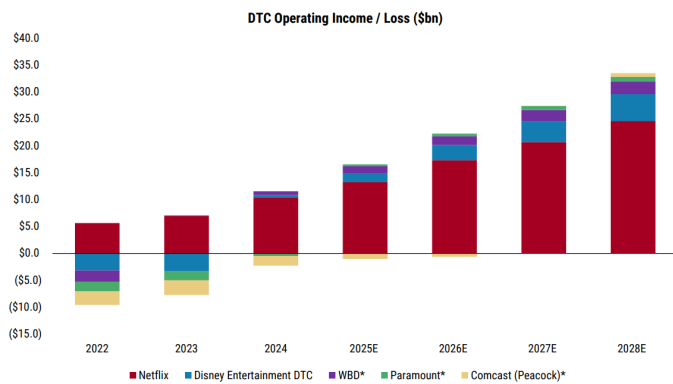
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These guys, today, make ~ 90% of profits amongst the big streamers. Of course, they can afford to pay for a bigger slate of content when others cannot.

Morgan Stanley

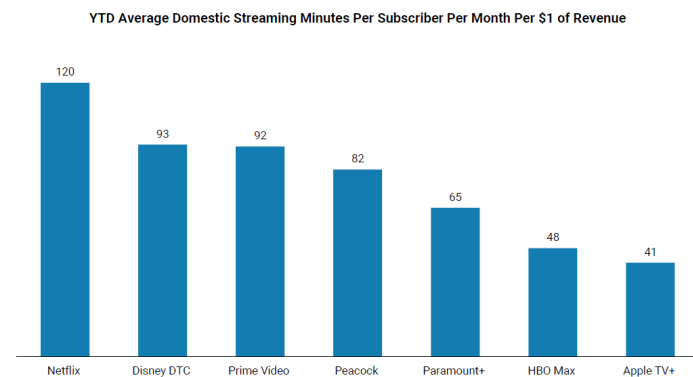
MORGAN STANLEY RESEARCH
2026 Year Ahead Outlook
January 15, 2026

An inflection point for streaming? Major streaming services have reached profitability



Yes, the bears are saying engagement and hours watched are not going up much, but on a relative basis, it's still a cheaper service than anyone else's.

Netflix continues to offer consumers the best value relative to engagement



Source: Nielsen, Company data, Morgan Stanley Research.

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This is the result when you have over 325M paid memberships and **one billion people globally** using your service. The same \$20B of annual content cost just costs a lot less per customer and you can pass on the unit cost efficiencies to each of them. Again, scale wins.

And dominance clearly shows up on the numbers. Between 2018 and 2025, content cost as % of revenue went from 48% to 36% and S&M from 15% to 7%. And they can spend 3x the amount in R&D and G&A over the years and EBIT went from 10% to 29.5%. ROIC is a mouth-watering 28%.

Model Sheet Currency: USD	FY2018	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025
Total Revenue, mm	15,794.3	20,156.4	24,996.1	29,697.8	31,615.6	33,723.3	39,001.0	45,183.0
Amortization of content library, mm	7,573.3	9,216.2	10,806.9	12,230.4	14,026.1	14,197.4	15,301.5	16,422.2
Other COGS, mm	2,394.2	3,224.0	4,469.4	5,102.3	5,142.2	5,517.9	5,736.9	6,853.2
Total COGS, mm	9,967.5	12,440.2	15,276.3	17,332.7	19,168.3	19,715.4	21,038.5	23,275.3
Other COGS Margin, %	15.2%	16.0%	17.9%	17.2%	16.3%	16.4%	14.7%	15.2%
Content cost as % Rev	47.9%	45.7%	43.2%	41.2%	44.4%	42.1%	39.2%	36.3%
Gross Profit, mm	5,826.8	7,716.2	9,719.7	12,365.2	12,447.3	14,007.9	17,962.5	21,907.7
Y/Y growth in gross profit, %	59.2%	32.4%	26.0%	27.2%	0.7%	12.5%	28.2%	22.0%
Gross Margin, %	36.9%	38.3%	38.9%	41.6%	39.4%	41.5%	46.1%	48.5%
Consensus Estimates - Gross Margin, %								
Y/Y improvement in Gross Margin, bps	559	139	60	275	(227)	217	452	243
R&D Expense, mm	1,221.8	1,545.1	1,829.6	2,273.9	2,711.0	2,675.8	2,925.3	3,391.4
Y/Y growth in R&D expense, %	28.1%	26.5%	18.4%	24.3%	19.2%	-1.3%	9.3%	15.9%
R&D Margin, %	7.7%	7.7%	7.3%	7.7%	8.6%	7.9%	7.5%	7.5%
Y/Y improvement in R&D Margin, bps	42	7	35	(34)	(92)	64	43	(1)
S&M Expense, mm	2,369.5	2,652.5	2,228.4	2,545.1	2,530.5	2,657.9	2,917.6	3,301.3
Y/Y growth in S&M expense, %	65.0%	11.9%	-16.0%	14.2%	-0.6%	5.0%	9.8%	13.2%
S&M Margin, %	15.0%	13.2%	8.9%	8.6%	8.0%	7.9%	7.5%	7.3%
Y/Y improvement in S&M Margin, bps	(272)	184	424	34	57	12	40	17
G&A Expense, mm	630.3	914.4	1,076.5	1,351.6	1,572.9	1,720.3	1,702.0	1,888.4
Y/Y growth in G&A expense, %	46.2%	45.1%	17.7%	25.6%	16.4%	9.4%	-1.1%	10.9%
G&A Margin, %	4.0%	4.5%	4.3%	4.6%	5.0%	5.1%	4.4%	4.2%
Y/Y improvement in G&A Margin, bps	(30)	(55)	23	(24)	(42)	(13)	74	18
EBIT, mm	1,605.2	2,604.3	4,585.3	6,194.5	5,632.8	6,954.0	10,417.6	13,326.6
Y/Y growth in EBIT, %	91.4%	62.2%	76.1%	35.1%	-9.1%	23.5%	49.8%	27.9%
EBIT Margin, %	10.2%	12.9%	18.3%	20.9%	17.8%	20.6%	26.7%	29.5%

Can the dominance continue?

The question now is: can this dominance continue? With its 1B audience, Netflix now possesses the ability to **amplify the value of content**, creating value out of thin air that no one else can. The widely cited examples are F1, Suits and Kpop Demon Hunters. Who in the US (except the hardcore fans) knew about F1 before Drive to Survive? Broadcast rights that were given for free by Liberty Media in 2018 suddenly were suddenly worth \$150M a year when Apple signed it last year. Who created the value? Netflix! Suits was in Peacock and didn't get hot until it was on Netflix. And I watched Kpop Demon Hunters 8 months after it was released, and would I have watched it had I not have an existing subscription? Probably not!

So, because of its super wide reach, and the fact that most people in the most important economy of the world (here) already subscribe to the service, Netflix is in the prime position to make fads happen, to create value out of thin air. Folks don't have to go through the hassle of subscribing for 1 month to watch something one off (which is something they'll tackle with HBO Max). And logically, it gets harder to create a hit show if there's so much friction and you're dependent on many customers signing up just to watch one show or one movie. Netflix today has no such friction anymore.

And when you can spend \$20B on content costs (not sports like the others are doing) and when others are willing to give it to you at better prices, your probability of creating the next fad just goes up exponentially. And you do it again and again, which is what we've seen with Netflix in recent years.

And these "fads" are reinforcing Netflix's importance in consumers' mind. And it shows up in the churn numbers. Low churn (almost) always wins. And low churn will stay low churn because they have the most content to keep customers happy and they can plough revenue to new content/better tech when others have to spend on S&M to reacquire customers.



I will be quite nervous if I am Disney and listening to kids singing to Golden instead of Zootopia songs.

Churn #s from Churnkey.co

Statistical Benchmarks for Streaming Services: Who's Winning the Retention Battle?

Churn rates are different for streaming platforms, **revealing which retention strategies work at scale**. The gap between the best and worst performers is massive; some platforms lose subscribers three times faster than others.

Platform	Monthly Churn Rate
Amazon Prime Video ²	≈ 3.5-4.1%
Netflix ¹	2.1%
Max ¹	6-6.9%
Disney+ ¹	5.5%
Hulu ¹	5.3%
Paramount+ ¹	5.0-6.0%
Apple TV+ ¹	6.5-7%

AI threat

I cannot get away without defending the AI threat. Yes, AI in theory means lots more content and that means higher possibility of something being created in some other platform that might take attention away from Netflix. But there is nothing stopping content producers (who work for Netflix) from using the same AI tools and be more efficient. And when they create the next big thing, the next big proper thing at lower cost (not Youtube or Tiktok quality), where would they put their content? Netflix!

The right way to think about AI is it's a tool, it's an efficiency time saving and money saving tool. And it goes back to the Munger story of X company buying a new machine (new capital cost) to lower its cost structure, only to see all "savings" being passed on to customers, because there's no competitive differentiation. Only companies with existing moat keep these efficiencies, and in the streaming space, who can keep these savings more than Netflix?

Also, if you know anything about TV and movie creation (suggested reading: Ed Catmull's Creativity Inc.), great content is not that easy to create. Those \$100M budgets matter. These guys don't sit around and do nothing. Great content is about emotions, understanding people, understanding what might connect. It's months and months of trial and error, of debate. Even one song takes a small tribe to create: <https://www.netflix.com/tudum/features/kpop-demon-hunters-golden-oral-history>

This is not core to the thesis, but advertising revenue grew 2.5x in 2025 and they think it'll double again in 2026 to \$3B. Not insignificant for a \$52B revenue (2026) and presumably most drops to bottom line.

Why has the stock gone down so much recently?

These guys are going from a relatively clean balance sheet (\$8B net debt including op leases) to taking on to \$71B in additional debt if they do the deal at Paramount's current takeout price. Taking on so much leverage and stopping buyback is not exciting. And they could end up paying even more. Just the act of doing the WB deal signals weakness. Plus, Q4 results didn't blow people away (15.9% growth for FY25). AI threat (Seedance, maybe even Claude soon). But ultimately, if my position wasn't clear enough, all are missing the big picture, that is Netflix is still the biggest streamer and has the biggest scale for proper content distribution (not Youtube or Tiktok quality content) and will keep rolling for at least the next 5 years.

The WBD deal

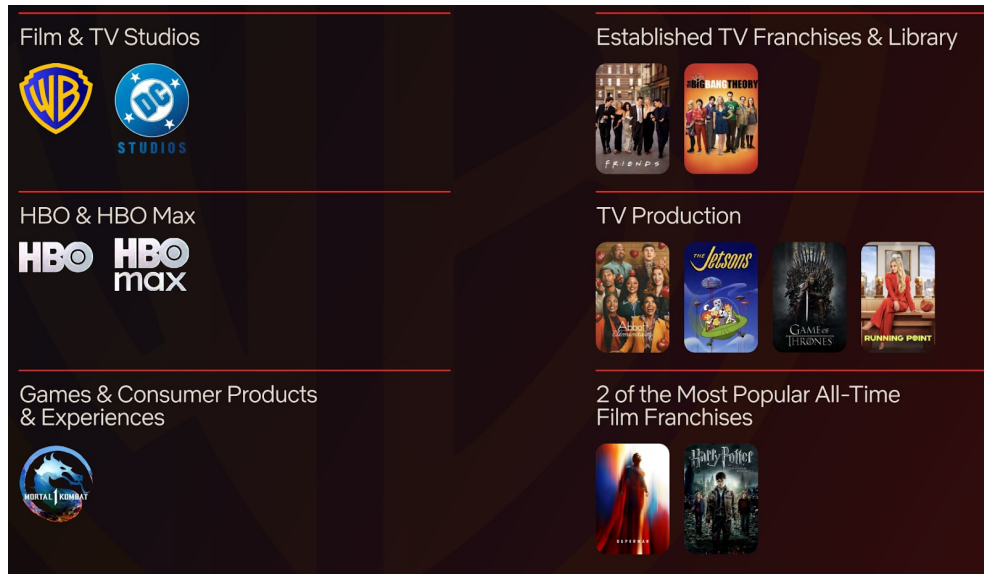
Below is the deal summary. If they end up paying as much as Paramount (and still allow WBD shareholders to keep the channel networks and make it a "better" deal for WBD folks), you add another \$8.5B (\$31 - \$27.75 * 2.6B WBD shares) of debt to the right hand side.

FINANCIAL HIGHLIGHTS	
DEAL SUMMARY UPDATE	
Financial Highlights	
WB Equity Value Per Share	\$27.75
Shares Outstanding (B)	2.60
Equity Value (\$B)	\$72.0
Warner Bros. Net Debt (\$B)	\$10.7
Enterprise Value (\$B)	\$82.7
Per Share Considerations	
Cash	\$27.75
Equity	\$0.00
WB Equity Value Per Share	\$27.75
Total Funding Sources*	
Cash on Hand (\$B)	\$20.0
Acquisition Debt (\$B)	\$52.0
Studios & Streaming Net Debt (\$B)	\$10.7
Total Warner Bros. Consideration	\$82.7

Despite all that's been said out there, I believe the simplest way to think about this deal is, Netflix is simply acquiring \$91B of content in the worst-case

scenario. Let's ascribe ZERO value for any future WB content, and they shut everything down (which they won't), and they just spent \$91.2B acquiring WB's library content. Yes, it's a lot of money, but we are talking some really (really) important assets here (to name a few: Harry Potter, Game of Thrones, The Big Bang Theory, The Sopranos, White Lotus, The Wizard of Oz, DC Universe (Superman, Batman), and Friends) and \$91B adds up to ~4-5 year of Netflix's annual content costs.

And the difference is they're getting certain hits. Basically, in one fell swoop, they're acquiring some of the very best content ever and these contents are what they get to keep forever and it allows them to reduce churn and amplify their pricing power (more on this when discussing valuation later). And the economics only works because they have 325M subs to spread all these costs over. And at the same time, taking out one potential competitor. And could this mean lower content cost going forward (maybe) – or more likely, in terms of certainty in future content costs. What they would have spent anyways could be applied to creating new sequels of prior WB hits and them owning it: think new Harry Potter, a modern version of "Friends", etc. Who better to take advantage than Netflix? And they don't even need the prior WB guys to do it if there's a "culture" clash.



Perhaps, I am simplifying things too much, but I believe thinking this worst case takes away the brain damage of trying to calculate "integration risks", "reduction in pro-forma earnings of combined", "reduction in "theatrical" distribution/third-party licensing", and making other predictions that are harder to predict anyways. And there's NO culture risk in acquiring content.

Ted Sarandos talks about the 85% overlap between HBO Max and Netflix subs and giving them a "nice discount". And again, it's only possible because of its scale and no one else can do it. Math on this in valuation.

Valuation

Let's go through the no-deal and then the deal scenario.

No-deal scenario

These are the guides for 2026:

For 2026, based on F/X rates as of 1/1/2026, we forecast revenue of \$50.7B-\$51.7B. This represents 12%-14% year over year growth (or 11%-13% F/X neutral growth), driven by increases in membership and pricing plus a projected rough doubling of ad revenue in 2026 vs. 2025. We're targeting a 2026 operating margin of 31.5% (based on 1/1/26 F/X rates), up from 29.5% in 2025, which includes approximately \$275M of acquisition-related expenses.

Basically, it means incremental EBIT margin of 45-47% (even with acq. related expenses; stripping out acq. related expense, incremental EBIT margin is 50%). And management said clearly: *We still see plenty of room to increase our margins and our intent is to grow our operating margin each year, although the magnitude of margin expansion will vary year-to-year as we balance reinvesting in our business with improving profitability.*

When I plug in the #s, and assume a 14% topline growth that declines to ~13% in 2030 (there's still quite a bit of international penetration to go after and each additional sub is highly profitable), and 45% incremental EBIT margins (you can easily argue this should be higher over time), I get to ~\$31.8B EBIT. 17x forward EV/EBIT for dominance and EBIT that's still growing 16-17% is not outrageous. This means \$542B of EV in 2029, and I give them \$47B in cash generation credit between 2026 and 2028 (assume 80% EBIT converts to real cash) and take out the \$8B in debt, that means equity value by 2029 of \$581B and about \$134/share in a no-buyback scenario (17% IRR by 2029).

Deal scenario

I am going to do a simplistic scenario for if the WB deal happens. Taking Ted Sarandos' words who said many times they are a "disciplined buyer" (they didn't stupidly bid for regular live sports programming when everyone was and are not saddled with expensive sports contracts today) and they just match what Paramount is now offering. Meaning they match the \$31/share in cash Paramount is willing to pay and still allow WBD shareholders to keep the spin-off of cable network assets (so there's no doubt their offer is "better" than Paramount's which will include taking up the channel networks).

Add it all up, and their net debt will be close to \$79-80B. And I am going to do the mental exercise I alluded to above. Let's assume there's no value to everything else that WB brings to the table and it's a pure content acquisition exercise. What does this mean? The only viable way for the deal to work is to bundle the new content to Netflix and raise prices on existing subs and the future year subs we had imputed in the no-deal scenario above. Let's assume they get NO additional subs even though they now have Harry Potter and Friends and that they are just able to take pricing up by 10%. Practically speaking, this means, folks in the US are paying less than \$2/month more and folks in the rest of the world less than \$1/month more to watch *all* the additional content from WB (on top of the at least \$20B they'll spend on new content in future years). It seems like a no-brainer. Most of us have the willingness and ability to pay \$2 more and I believe this is the "nice discount" Ted Sarandos was saying when describing the deal. And only Netflix can do it because of that one magical word, scale. They just can spread whatever content or acquisition cost over so many more subs and only they can comfortably do so (not Disney, not Paramount).

This means 10% additional pricing/revenue in future years on top of the no-deal scenario above and I believe most of it is pure profits that drops to bottom line (anyone who knows the space better, let me know if this is not the case.). I assume 98% drops to bottom line and in the 2030 scenario, it means \$8.63B in additional pricing revenue and \$8.46B more in EBIT (Even 2% or \$170M is a lot of money to "manage" these "new contents"). \$91.2B for \$8.5B in EBIT is 10.8x and now the deal doesn't seem that expensive anymore. And it doesn't seem expensive only because they *already* have existing scale and don't have to grow into it (like Paramount).

Which means by 2030, they could do \$40.3B in EBIT, and applying the same forward 17x EBIT, I get to EV of \$685B in 2029. And giving them \$53B credit for cash (2028 is the first year they get cash credit for WB pricing power and only 80% of EBIT becomes cash), adding all the debt (\$71.2B new debt + \$8B original debt), I get to ~\$660B in equity value and target price of \$152 in 2029 (22% IRR by 2029). It also means even if leverage stays, we are looking at 0.7x Net Debt/EBIT.

Investment Risks

- Are they running out of growth and could top line growth decelerate more? They have done the easy things (raised prices, killed password sharing, US is saturated and it's harder to raise price in poorer/low ARPU countries)
- Despite still just costing 1 movie ticket, 3 lattes or 2.5hr of minimum wage per month for so much content (real movies and no ads), it's not exactly a cheap service like before
- Youtube gains even more watching time and the gen Z cannot sit still and watch something for more than 45 seconds
- They go crazy and pay \$150B for WB and leverage becomes a real risk

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

- No deal, they restart buybacks and stock rerate (sorry, I am one day late, and you already missed the first 6% from yesterday)
- Deal happens, and you must ride the volatility (regulatory delays, merger complexity, etc.) until it becomes clear the deal works (they can raise prices easily to recoup) and they remain the undisputed #1 in streaming.

Messages

Subject really good
Entry 02/26/2026 10:51 AM
Member WinBrun
 this write-up made me want to look into this company. great work.

Subject PSKY as a Competitor
Entry 02/26/2026 05:58 PM
Member zipper

In the "no deal" scenario, which looks like where it's going now AH, how do you think about PSKY as a potentially irrational and scaled actor bankrolled by an octogenarian billionaire with a bottomless wallet open for his seed to cement his legacy? Media has always had a trophy aspect to it (history of bickering media moguls, not all of whom made money), so curious how you think about competitive risks here if you're so inclined. Thx!

Subject Re: PSKY as a Competitor
Entry 02/26/2026 06:06 PM
Member ThinkAnew

So Netflix dropped out (shows their financial discipline again). My thought is Netflix spends \$20B on content each year (and growing) and has become the preferred destination for many content producers to show their content (who doesn't want their lifework viewed by the most people possible). How many \$20Bs does the Ellisons have to burn (9.5x according to Forbes today)? Okay, I cannot rule out some irrational Middle Eastern \$ and anything can happen. But odds are in Netflix's favor (so far).

"The transaction we negotiated would have created shareholder value with a clear path to regulatory approval. However, we've always been disciplined, and at the price required to match Paramount Skydance's latest offer, the deal is no longer financially attractive, so we are declining to match the Paramount Skydance bid."

Subject Re: Re: PSKY as a Competitor
Entry 02/26/2026 06:20 PM
Member ThinkAnew

Sorry for another message, this was the full press release for those inclined:

The transaction we negotiated would have created shareholder value with a clear path to regulatory approval. However, we've always been disciplined, and at the price required to match Paramount Skydance's latest offer, the deal is no longer financially attractive, so we are declining to match the Paramount Skydance bid.

Warner Bros. is a world-class organization, and we want to thank David Zaslav, Gunnar Wiedenfelds, Bruce Campbell, Brad Singer and the WBD Board for running a fair and rigorous process. We believe we would have been strong stewards of Warner Bros.' iconic brands, and that our deal would have strengthened the entertainment industry and preserved and created more production jobs in the U.S. But this transaction was always a 'nice to have' at the right price, not a 'must have' at any price.

Netflix's business is healthy, strong and growing organically, powered by our slate and best-in-class streaming service. This year, we'll invest approximately \$20 billion in quality films and series and will expand our entertaining offering. Consistent with our capital allocation policy, we'll also resume our share repurchase program.

We will continue to do what we've done for more than 20 years as a public company: delight our members, profitably grow our business, and drive long-term shareholder value.

Subject Update
Entry 04/22/2026 12:11 PM
Member vincent975
 Hi ThinkAnew -

Appreciate the idea. I really like pitches for high quality large cap names. Any updated thoughts post earnings and recent news?

Best,

Vincent

Subject Re: Update
Entry 04/22/2026 04:59 PM
Member WinBrun

If you believe directionally in Management's unofficial but not-denied internal targets from 2025 to double revenue and triple operating profit by 2030 (from roughly \$40B and \$10B), then the stock is attractive here—I think \$8/share and \$200/stock is possible—which is over 20% IRR. The business has completely separated itself competitively from peers, is adding new categories like sports, live events, and games, and is still early in advertising. ~325m subs as of last quarter (so probably more now) is only about 40% penetrated in existing addressable market, and it is still less than 5% of television time. There is still a long runway to grow users and viewing. YouTube, Social and AI-generated content are certainly risks, but my personal view is that there will be persistent demand for the type of content that Netflix delivers. Also, some forms of content where Netflix is increasingly strong, such as non-scripted, documentaries, and sports, or anything live, is more insulated from AI. Movies and television should endure. Netflix has the best business model to produce and distribute both.

25x E2027 earnings—seems reasonable. I do not see why Netflix cannot continue to grow revenue at 12-15% for the foreseeable future; continued margin expansion and buybacks can drive high teens-low per share earnings growth.

I believe that the barrier to Netflix signing up the next 100 or 200m customers is not demand for the product—most people will want it; it is getting the pricing and packaging right market-by-market, particularly in markets where there is less developed internet, pay-television, or advertising supported video. But, I think the demand will be there.

Subject Re: Re: Update
Entry 04/22/2026 06:52 PM
Member vincent975

Appreciate the thoughts, WinBrun

Best,

Vincent

Subject Re: Update
Entry 04/22/2026 08:48 PM
Member ThinkAnew

Frankly nothing much to add. I don't think Hastings leaving the board is that big of a deal. Not much changed fundamentally for the Q. I still stand by what I wrote 2 months ago.

Subject Roku
Entry 06/16/2026 01:47 PM
Member zbeex
 Netflix down on bidding for ROKU yet they confirmed they did not bid. <https://x.com/rogoswami/status/2066913876352893326>

Subject Re: Roku
Entry 06/16/2026 01:58 PM
Member Mencken

That's not why it's down. It's down bc it's rumored to be bidding for LION.

Subject Re: Re: Roku
Entry 06/26/2026 01:28 PM
Member natey1015
 Hard to believe that is the reason why NFLX is down—bidding on a ~\$9B asset against a ~\$300B EV.

WinBrun—any thoughts here on the potential bear case? Stock seems to be relatively attractive at these levels. Thanks.

Subject Re: Re: Roku
Entry 07/10/2026 07:59 AM
Member WinBrun

I think it is attractive here. there are a few factors weighing on the stock—1) WBD deal gave oxygen to idea that Netflix needs to a deal to offset slowing growth—I think some part of the overhang related to this worry (and media has fed this with reporting on Roku and NBCI. 2) YouTube/engagement risk—Netflix has dominant position in paid streaming versus peers but growing worry that YouTube (and other UGC/Short-form) is going to come underneath them on price with more content—kind of what Netflix did to linear. Netflix is not going to be able to compete with the largest free-UGC service on volume of viewing—Concern would be that if Netflix cannot grow engagement—that is an negative leading indicator for future price increases and ad impressions 3) Reed Hastings left—unusual for founder to leave—Reed was really good at big picture vision—and Netflix has not really communicated well about what it is doing and why—in the face of a lot of change (ads, podcast, games, TF-1 deal in France)—I think the lack of clear communication on vision and why they believe that they can successfully add new categories of content has left misinterpretation about why Company is making certain strategic decisions. 4) Top-line projected to grow 11-14% (somewhere in there)—not seen as obvious AI winner and maybe actually seen as facing higher costs for compute/inference. Growth investors not excited—technology investors not excited—not really cheap enough for value

My view on each would be

1-Acquisitions—I think Netflix is acting from a position of strategic strength with deals—it has the best business model to monetize premium entertainment in

the world. It has one of the most advanced and sophisticated technology platforms in the world (hard to stream to every device in every country on every internet network at a level that is good enough to pay a recurring fee for). Content is more valuable because it is on Netflix and owned by Netflix. They have a better sense of the value of any one piece of content than any other company and they have a better model to distribute it. It has a very strong balance sheet and free cash flow.

2-YouTube-UGC-Engagement trends--probably the biggest real fundamental risk. But, I think there are few reasons to not be quite as concerned as maybe it is being portrayed. First, Netflix and YouTube are dominating on television relative to every other paid service in terms of viewing and engagement. The two services really serve different entertainment needs-and I don't think it is zero-sum between the two. Second, I think the quality of engagement matters as much as the volume of engagement, especially for retention and advertising. Long-term Netflix investors should care more about the durability and the defensibility of the form of engagement as much as absolute engagement.

Imagine a house with two parents and two kids-and the dad is the only person watching Netflix-maybe 20 hours a month--then Netflix increases investment in kids and family--and the two kids each start watching more but the Dad watches less--maybe viewing hours per month go down to 18--but the distribution of engagement broadens and the use cases (maybe the parents allow the kids to watch on iPad at dinner) also broaden. Does the absolute lower engagement per month reflect a lower quality of engagement or worse subscription economics? There are many examples in history of entertainment and media where a business had a monopoly on attention (newspapers) or a rating and viewing dominance (CBS in linear) that ultimately was not predictive of durability. My hope would be that Netflix is delivering engagement that makes the business more defensible and durable--either through forms of content that cannot be replicated by other providers, personalization quality that delivers delight and saves time, or some other qualitative difference in the viewing (co-viewing; event-viewing; binge viewing) that is actually structural rather than hit-driven or dependent on renting rights that you can never own.

Netflix should talk a lot more about the quality of engagement (which can also be measured by completion rates, cross-device viewing; return to series viewing; co-viewing; re-watching).

3-Strategic vision--Netflix is actually undergoing one of the most biggest expansion of the content categories in recent memory--video podcast, more games, sports, live, new short-form/TF-1 deal in France---I think this has the chance to make the subscription more valuable to more people by becoming something that offers more forms of entertainment for more dayparts on more devices (i.e. Netflix not really strong on morning day-part--or mobile). The risk/reward here has to be put in the context of the size of the investment (i.e. gaming could have very good risk/reward if relatively small percentage of the budget can make a real difference on retention or smartphone use), advertising economics, and what would happen if Netflix didn't do it. I do not believe think any paid streaming competitors have the technical capabilities to do what Netflix is doing with content category expansion--so if it works, it will be a point of real competitive differentiation.

4-AI--I am very bullish on Netflix's potential to leverage AI to make the content better and more efficient, to make the user experience and personalization better, and to make advertising higher-value. It will be gradual, small compound improvements--but Netflix has the proprietary data, technical talent, business case, and financial resources to leverage AI across the business.

Big picture, I think it is still early in streaming in terms of number of customers and view share, I believe that Netflix has a better model for core series and films than any company and that series and films will remain two of the most popular and durable forms of entertainment globally; the demand for Netflix is only constrained by pricing and packaging, not the core offering--therefore over time, the customer base has the potential to grow dramatically as the business figures out how to price and go to market in large countries with less developed pay-television infrastructure-----and even at 10-12% top-line--the business can meaningfully grow EPS and free cash flow for the next several years in a way that would make the current stock look very cheap--there is a path to \$90b in revenue;\$30B pre-tax and \$8/share in earnings by 2030--stock very cheap if that directionally right.

Subject
Entry
Member

Re: Re: Re: Roku
07/10/2026 01:17 PM
MarAzul

This is a great business, with scale and has historically been well managed, so always interesting to follow and now more given the decline in market price. Something I have been thinking and has given me some pause is the following: we might get a tsunami of content, as ai tools make it easy for anyone to produce more of it. This favors free platforms with many contributors such as insta, tiktok, youtube, etc. Netflix looks great in a world where good content is scarce and costly to make, yet they can afford to pay up for it given their scale...as they can spend big \$ and distribute that cost through their user base. Seems like costs for producing content might go down over time, we will get more content and someone like Netflix might lose some of their advantages as the deep pocket that could finance the spending. The only place where it seems they might continue to have leverage indefinitely might be sports, but most of the economics might end up in the hand of the leagues, etc. Also, competition for eyeballs keeps going up and we only have 24h in a day. There are many cross currents, so who knows how it will turn out.

Subject Bear case
Entry 07/10/2026 01:46 PM
Member Fat_Tony

I believe the following statements are uncontroversially true (though happy to hear counterarguments):

US subs are in decline.

Engagement (hours watched per sub) are in decline.

The bridge to rev growth is increasingly being padded by price, account sharing crackdown, advertising.

Competition for consumer attention is up-and-to-the-right (social media and other short-form content like YT shorts, microdramas...see what's happening in China). That all was true before AI, and AI will supercharge this competition.

*

In the face of those "facts":

NFLX felt they needed to buy WB, and having failed that, there are rumors they will buy/partner with others (e.g. see WSJ article last night).

They still trade at 20x NTM earnings and 22x if you penalize for maintenance capex (excess content spend above content amort).

*

What is a media company with declining engagement and MAUs in core market worth?

META on the other hand, even after the run, trades at 18x PE. With US engagement (hours spent) growing +HSD ytd, and global much higher. And they might have a frontier AI lab!

*

Anyway, NFLX historically a great company. But the world isn't static, and it seems to me that their circumstance has deteriorated significantly, since even just a few yrs ago.

Maybe they turn the tide, and AI helps slash content costs while they keep the eyeballs. But sure feels tenuous to me. And the attempted/rumored M&A suggests to me mgmt may feel the same.

Subject Re: Bear case
Entry 07/10/2026 02:06 PM
Member WinBrun

1-They stopped breaking out US subs--last year- revenue in UCAN growing 14%. I think you are wrong on that.

2-total engagement growing-but per household not up last quarter. I think the headline obscures what is happening a bit-for example, they adding a lot of new subs in Japan and the average Japanese sub watches less. Quality of engagement is going to matter more.

3-competition has always been high. I would say that netflix content may breakthrough and be more valuable as there is more AI generated content. most people are not going to create content. AI should be valuable tool for the best content creators on Netflix.

-

WB was an opportunity. they walked away. There is not that much else to buy other than NBCU which is unlikely and would not happen for two years.

I think there is a big growth opportunity still in users (325m out of 1B qualified households), view share (9% in most mature market and much less in other markets); and 3-advertising--ads at \$3B growing 100% and very early in ad tech stack and they are rolling out 15 ad new markets last. early in live, sports, and games.

i don't think 20x is expensive is you believe this is the leading premium internet video company in the world with irreplaceable data, user base, personalization and distribution and long runway to grow viewing and users.

Subject Re: Re: Re: Re: Roku
Entry 07/10/2026 02:40 PM
Member WinBrun

Hard to know how this will play out—but I would take the other side of AI as a threat for content demand. The volume of content now is already unimaginable with UGC. We already have a tsunami. AI may pour rocket fuel on this—but I don't think it will change the fundamental challenge of 1-making something that a lot of people will like and 2) finding it. Most people are not creators, are not going to want to make their own content, and will not know how to develop characters and stories that people will spend time with.

Maybe AI will write scripts and do all development—not sure that is bad for Netflix though because merchandising and discovery will still matter.

Also, there is a large body of content that is AI-immune—stand-up comedy, sports, reality shows, documentaries—AI is not going to replace real stories or events with real people. Netflix is increasingly building scale across each of these verticals—to the degree there remains demand for these forms of entertainment—Netflix should benefit.

Movies and television have been two of the most enduring forms of mass entertainment for close to one hundred years—this is spite of incredible evolution and changes in media formats. My guess is that the fundamental drivers of what make movies and series something that a lot of people want to watch will not change. As television gets better, picture gets better, home entertainment gets better—I think many people will want more premium entertainment.

What can change is the underlying delivery mechanism—and that is something to watch out for Netflix shareholders. But, Netflix seems pretty well-positioned here.

Subject	Re: Re: Re: Re: Roku
Entry	07/10/2026 03:45 PM
Member	WinBrun

just to follow-up—I think the main risk for Netflix is that they have been unable to grow their share of viewing above +/- 9% in the US (most mature market for many years) despite streaming growing as a percentage of total television time and the delivery of a few massive hits. The concern would be that Netflix has reached some general ceiling on view share that it can earn on the current offering (mostly series and films) and without other categories of content (news, local, sports) there is a limit to engagement growth given that some viewing will be driven by daypart (people may not start a new scripted series at 10am on Monday)—therefore no matter how good the incremental series or how good the recommendation—without expansion of content vertical to reach more people at more times of the day on more occasions—there is a natural limit to viewing share—and while Netflix has room to grow share of viewing a lot in developing markets where its share is lower—the same general constraint would apply. Holding share with core series and films is different than growing share by expanding into new verticals.

The response is to add more video podcasts (can serve like a morning talkshow) more games (can earn more mobile) and more live events and more short-form. If Netflix is not successful growing share of viewing with the addition of new verticals—that could be a negative.

at least two known unknowns that matter 1) are how big can advertising be, and what is the 2) pricing ceiling at the high-end. I sort believe that there is a lot of room to raise price on a base of customer that want to have Netflix when they want it, spend a lot of internet, home entertainment systems, and have enough discretionary income that they are not going to cancel at higher price points.

if there are 250m households that would pay \$25/month—\$75B business—hard to see how that is not extremely profitable. You could argue that raising price to maximize ARPU is exactly the wrong move and it what got cable in trouble—but I would also argue that internet television is different in that Netflix is going to have more ways to constantly improve the product and value to the product in a way that cable did not.

You also wonder if the capital allocation changes to super-serve fewer people that really value the service versus trying to go as broad as possible. The conventional wisdom on content is that because the cost is fixed and the marginal cost to distribute is essentially zero—then it makes sense to try to add as many as customers as possible given they will come at high incremental margin. But, those customers need to be retained and served—and maybe the business would make different capital allocation decisions to serve the small base of higher value customers versus trying to serve the maximum number. The best case is not have to make that trade-off.

Subject	Re: Re: Bear case
Entry	07/10/2026 04:04 PM
Member	Fat_Tony

Hi WinBrun.

I get to negative US sub growth as follows:

2025...+15% UCAN revs comprising +12% avg plan px increase +4% ads contrib = subs -1

2026...consensus +12 UCAN revs comprising +8% avg plan px increase +5% ads contrib = subs -1

There's plenty of room for estimation error in there. I see sell-side analysts both higher and lower. FWIW, all the 3P analytics/data (parrot, sensortower, etc.) have been pointing to net sub declines in US, for a while. Of course those have estimation error, too.

*

Re: engagement, the data I have seen suggests US engagement running negative yoy (i.e. not just international mix effect).

You can get some decent total US hrs numbers, streaming share from Nielsen, etc. to piece together a reasonable picture.

And then there's this: <https://www.wsj.com/business/media/netflix-is-exploring-live-tv-and-bundles-as-it-struggles-to-keep-viewers-hooked-e1eb28f6>. Which is straight from the horse's mouth that engagement decline has begun to worry mgmt.

*

Agree competition has been high for a long time. I think that's why NFLX has gone ex-growth in UCAN (on both users and engagement; although that is up for debate per above).

AI is the biggest wildcard. There are gives/takes for NFLX. You note the good case for NFLX. Though I observe so far, it has 0% share of AI gen content viewership (you may be surprised how much there is on YT, insta, X etc. already). And there's an argument that AI lowers the barrier to content creation, which erodes NFLX distribution moat (fragmentation of content pushed through ad-supported channels like YT, insta, etc.).

*

Anyway, there's something for both sides. I think through all of that and end up small short. In my 'a great biz that has become just good' bucket.

Subject	Re: Re: Re: Bear case
Entry	07/10/2026 04:26 PM
Member	WinBrun

Fair points. I have not seen those estimates. Regardless, UCAN is close to 90m subs--so it ~90% penetrated. maybe they can get to 120m which was cable at peak I believe--but, the real value in UCAN will be from higher ARPU.

US engagement comps are tough and the World Cup probably has been negative.

Engagement aspect of this is going to get a lot more attention and I think it should. I don't believe that more engagement is necessarily better----Netflix has not done a great job highlighting this (if it is right)--but the distribution of engagement (how many people in the house watch; across how many categories across how many devices) and the qualitative differences in the type of engagement (is the whole family watching a movie/does a person have one really satisfying binge/do you get something you cannot get somewhere else/does it make you laugh or cry) should matter to the retention, loyalty, and pricing power. You could optimize for engagement and build a fragile business and you could optimize for loyalty with less engagement and build a more durable business. When people use something for different reasons and value it in different ways-- a headline volume/consumption number does not tell the whole story (to be clear growing engagement does matter).

I don't think WSJ article was directly from horse's mouth--and if you read it, it kind of makes sense to me that they are looking to add new content to grow engagement. This has been true over time--start with movies, add old television shows, add new scripted shows, add non-scripted--each grows the potential viewership and viewership would be less with less variety. Obviously a major difference versus the early days of this dynamic is growth of YouTube and growth of free streaming competitors plus overall user growth in US is less.

on AI--we will see. I think it ends up a benefit to Netflix. advances in technology have tended to make what you put on the screen at the high end more spectacular and commercial-but they have not made it easier to be good at developing a story and characters.

Subject	"Maybe stop with bombarding people with LGBTQ content"
Entry	07/11/2026 02:40 PM
Member	jgalt

One of the top comments on that WSJ article.

Maybe the woke agenda is finally catching up to Netflix.

I actually just cancelled Netflix and will try Paramount+ for a while to see if we like it.

SM Scott Marko

1 day ago

Maybe stop with bombarding people with LGBTQ content.

Reply ·  84 · Share

JM Jan Moyer

1 day ago

I'm pretty socially liberal, but find the casting checklist annoying. Every show has to staff the obligatory oppressed groups, regardless of whether they make sense.

Reply ·  26 · Share

↩ 1 reply

CT Charlieo Turillo

1 day ago

So very much political correctness ~

The fools don't seem to understand that it's not working, it's backfiring.

Lucky me I have several hundred movies and several series (DVDs) all favorites which I cycle through constantly. I felt, and still feel the same way. that it was worth whatever I paid for them. Most often I can buy a DVD for less than a streaming service want me to pay for a one time viewing.

Reply ·  9 · Share

EM Ernest Montague

1 day ago

Reminded me of mystery novels. After ten years, my old ones are new again.

Reply ·  · Share

↩ 1 reply

MS Matthew Schulz

1 day ago

My kingdom for a group of producers/showrunners who don't think every show needs to fulfill every single Bechdel test ever invented.

Reply ·  4 · Share

CB C Browne

1 day ago

Paramount has you covered with Taylor Sheridan ;)

Reply ·  3 · Share

MB

MaryAnn B

...

1 day ago

You know it shows you what it thinks you'll like based on what you've watched, right?

(Edited)

Reply ·  2 · Share

FS

frederick stark

...

1 day ago

yeah! you watch a crappy show for five minutes,the floaters start coming up to the surface, so here's another crappy show we think you'll really like!

Subject	Re: "Maybe stop with bombarding people with LGBTQ content"
Entry	07/15/2026 12:24 PM
Member	blauskobalt

Opinions aside, are there any good numbers/studies on this?

It would be difficult to parameterize, but I'd be curious to see something more substantial than the anecdotal, "XX movie bombed b/c woke fatigue, etc."

Subject	Re: Re: "Maybe stop with bombarding people with LGBTQ content"
Entry	07/15/2026 01:51 PM
Member	WinBrun

there are reasons to be negative on Netflix, but I this is not one. They are releasing a wide variety of originals/licensed titles--and you can find content that is objectionable to a lot of different groups. Hard to say the Kevin Hart roast was woke.

It makes no business sense to polemicize as a company seeking to appeal to everyone.

Also, my sense is that people like Jgalt are loud but very tiny minority who are looking for things to be outraged about.

Subject	Re: Re: Re: "Maybe stop with bombarding people with LGBTQ content"
Entry	07/15/2026 02:02 PM
Member	acm2025

I think there was a time, around COVID/George Floyd, where these services -- HBO in particular -- would prioritize that content in folks feed, particularly during certain months, not because they thought it was the best ROI but out of a sense of mission or morals or maybe just to appease their mostly liberal workforces. But these days Netflix will seem flamingly gay if thinks you like that sort of thing and bro-maxxed if it thinks that will cause you to stay on the platform for an extra episode.

There is little doubt this stuff hurt Snow White and (probably) Lightyear. Social conservatives have a lot of kids and it feels like folks want to avoid controversy with their kids. Conveniently those movies also weren't great. Odyssey appears set to blow up despite the right wing outrage machine.

Subject	Re: Re: Re: Re: "Maybe stop with bombarding people with LGBTQ content"
Entry	07/15/2026 03:33 PM
Member	jgalt

Would be interesting to quantify the impact. But I do wonder if this is what execs at Netflix are seeing (they'd never admit it, though).

are people cancelling netflix because it's too woke?

AI Mode **All** News Short videos Videos Images Forums More ▾ Tools ▾

✦ AI Overview

Yes, some users are cancelling Netflix and calling for boycotts over concerns that the platform's content is "woke," though it is not a widespread trend that has severely impacted the company's subscriber base. [🔗](#)

This specific backlash was amplified by conservative figures, most notably Elon Musk, who urged his followers to cancel Netflix over content with LGBTQ+ themes [aimed at children](#). [🔗](#)

While these campaigns generate intense social media debates, overall subscriber numbers have continued to grow during these controversies, and the cancellations have remained limited [when compared to overall user retention](#). [🔗](#)



Elon Musk   @elonmusk · 7h



Needs to change.



Billboard Chris   @BillboardChris · 9h

This is real.

Netflix's description of Gone with the Wind:

A 1939 American Civil War epic known for its racism. To learn more ...

Gone with the Wind

1939 • G • Drama

A 1939 American Civil War epic known for its racism. To learn more about Black lives in America, search "Black Lives Matter."

Starring: Clark Gable, Vivien Leigh, and Leslie Howard

More Details

Genres

Classic Romantic Movies, Classic Movies, Drama Movies, Romantic Movies, Movies Based on Books, and Period Pieces

This show is ...

Romantic, Epic, Unrequited Love, Civil War, Critically Acclaimed, Based on a Book, Period Piece, Drama, and Movie



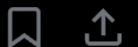
netflix.com

💬 1.4K

↻ 2.5K

❤️ 18K

📊 1.6M



Subject
Entry
Member

Anecdotaly
07/15/2026 04:48 PM
Shoe

To me, I think quality content has just gotten more fragmented. I find myself watching more Youtube & Amazon video. And random HBO or Disney or Peacock or whatever once in a while. Netflix for now is just a lot of old stuff / re-run stuff.

And Netflix hasn't had a zeitgeist show/movie in a while. And when they do have a hit, they don't follow it up well with subsequent good seasons (or any at all)

Plus sports & events have taken a lot time share lately too.

Netflix perhaps has finally gotten mature. And the password sharing crackdown / ad monetization aren't new anymore

Subject Re: Anecdotaly
Entry 07/15/2026 05:27 PM
Member WinBrun

the competition in scripted series in the US has definitely gotten better. And Netflix has been on a bit of a cold spell. Outside the US, I think Netflix's position has gotten stronger on a relative basis and the lead is widening.

I think one of the main opportunities and risks from here is Netflix expanding the offering to earn viewing in new occasions and on mobile. The growing investments in video podcasts, gaming, and short-form/YouTube originals is in part an effort to earn more viewing in the morning/during the day and on the phone. The content is not as expensive as scripted series but it remains to be seen whether these new content categories and formats will drive a lot of incremental usage.

Subject Re: Anecdotaly
Entry 07/15/2026 05:37 PM
Member seb1991

I do share similar feelings. Personally, I have cancelled my membership after 8years or so. There is a lack of new content (new movies or Netflix originals), it keeps recommending the same movies again and it again (regardless of the genre), and it rarely has the movies I want. I am at a stage where one streaming subscription (Prime in my case) and Youtube premium are enough. And to be frank, my video streaming piracy consumption has increased significantly.

Subject Re: Re: Anecdotaly
Entry 07/15/2026 11:18 PM
Member Shoe

Yea, good content is increasingly being gatekept by other production houses.

It does seem the foreign shows / genres are picking up a lot (e.g. k-dramas / c-dramas, Indian, Spanish, etc.), so I guess international (which is where all the growth will be anyway), still has a lot of room to grow.

Subject Engagement
Entry 07/16/2026 08:31 PM
Member Fat_Tony

Evolving Our View Hours Disclosure

Engagement is important to our business. But as discussed above, engagement is not just the quantity of view hours, but also refers to the quality and variety of our offering. To make this clearer, we're making a change to our view hours disclosure.

After today's *What We Watched* report, which covers the first half of 2026, we will shift to publishing this report annually in the first quarter, beginning in 2027. The goal of separating the publication of the report from our earnings results is to keep the focus on our primary financial metrics – revenue and operating profit. With this change, we will still report industry-leading title-by-title and total view hours data (including our weekly Top 10 lists for movies and series in more than 90 countries).

Reducing engagement disclosure, as they did with membership #s.

Companies don't hide KPIs that are rosy, or trending in the right direction.

Subject
Entry
Member

Re: Engagement
07/16/2026 08:38 PM
WinBrun

generally agree-but here it make sense.

they stopped reporting subs and subs are up over 30m from when they stopped

Subject
Entry
Member

Re: Re: Engagement
07/16/2026 08:57 PM
Fat_Tony

Maybe I'm overly cynical.

I think they stopped reporting subs in 2024, *by region*, because UCAN was about to go ex-growth (which I believe it subsequently did in 2025/2026).

And I take a similar view of this change to engagement disclosures.

*

Inertia is a strong thing...in both cases, mgmt had to sit around a table and decide to actively remove a widely-watched disclosure. They knew they would get flack for it, and decided to do it anyway. Why? I think I know why.

*

Note: that doesn't mean the company or stock is dead. EPS, depending where F26 shakes out, will be up 70-80% since they stopped reporting subs after 2024.

And their future economics could certainly be fine, or even good, as hours-watched deteriorates.

My point: if mgmt stops disclosing a KPI, 9 (10?) times out of 10 it's because they think that KPI is going to get worse.

Subject
Entry
Member

Re: Re: Re: Engagement
07/16/2026 10:02 PM
WinBrun

by definition, when they stopped reporting subs they stopped reporting by region. UCAN growth was going to come from ARPU so logical to focus people less on sub growth. Sometimes the metrics that matter change or evolve with the business. but i take your point (and engagement does still matter to be clear).

The sentiment here is pretty bearish-which tends to happen to Netflix on occasion. The content quality is bad and YouTube/short-form is going to kill it. The new content formats will not work and are a sign of desperation.

Some version of these arguments has been made in the past--1-studios are going to pull content for their own streamers-and that will kill Netflix; 2-HBO or Amazon or Disney or Apple will kill it; 3) the shift to advertising is a desperate business pivot; 4-the content is bad (this argument has been made every year in some form since they started making their own shows).

In my view, these arguments have generally been wrong and Netflix has been able to evolve and adapt and grow in the face of each prospective challenge. in my view, not enough consideration has been paid to why that it is.

Today, I think the competitive position, balance sheet, and technical capabilities are stronger than ever and the market opportunity is growing as they expand selection, price points, and advertising. If you buy that, \$50B in revenue growing low-teens at 19x earnings is a good risk/reward.

Subject
Entry
Member

NBCU / YouTube & Netflix's likely response?
07/28/2026 08:49 AM
walter99

YouTube and NBCU entered into a deal that gives YouTube Premium subscribers access to Peacock. Do you think Netflix has to respond to this move? What might they do?

I know it seems like one small step, but YouTube describes the deal as "redefining the modern entertainment subscription." One could argue that streaming services like Peacock are akin to "channels" (from the old cable tv days), and the distributors will be big tech companies like YouTube, Amazon, etc.

I'm curious if you or anyone else thinks Netflix will move in a similar direction and start carrying "channels" from third-party streaming services. Thank you!

<https://blog.youtube/news-and-events/peacock-premium-partnership-youtube-premium-subscription/>

Subject
Entry
Member

Re: NBCU / YouTube & Netflix's likely response?
07/28/2026 09:16 AM
WinBrun

Netflix is doing some of this-the TF1 deal in France is perhaps the best example. seems like there are early positive signs.

<https://www.hollywoodreporter.com/business/business-news/tf1-netflix-deal-record-streaming-figures-france-1236642951/>

I'm not sure that recreating the old bundle is going to be that good. But, YouTube and Netflix are each well-positioned to be aggregators if the market moves that way.